

THUNDER FROM THE



BILLIONS OF ENTREPRENEURS: HOW CHINA AND INDIA ARE RESHAPING THEIR FUTURES AND YOURS

by TARUN KHANNA

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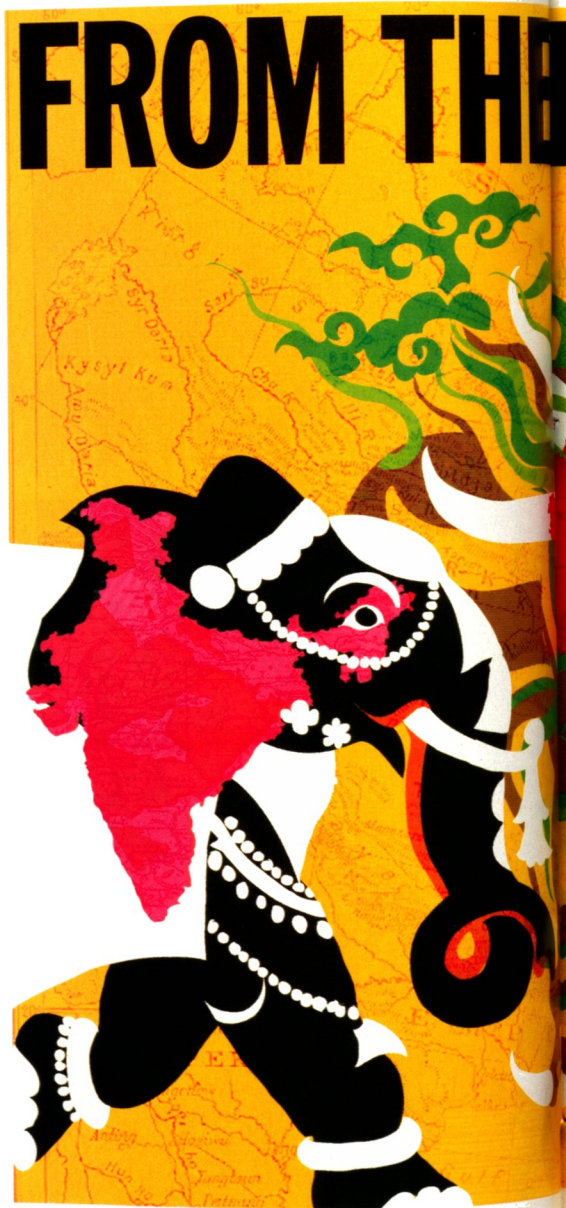
■ By Ashutosh Varshney

There are three kinds of academics in the United States: those who only write for fellow academics and are contemptuous of newspapers and television, part of the so-called public sphere; those who would love to be public intellectuals, but do not have the skill to write free of jargon; and those who excel at both academic and popular writing.

With the publication of this book, Tarun Khanna, Jorge Paulo Lemann Professor at the Harvard Business School (HBS), has staked serious claim to the last category. Having received tenure at HBS, he has already satisfied his demanding academic peers. By combining academic knowledge with the eye of a journalistic observer, he has now produced a most thoughtful, accessible and well-written book on the ongoing economic revolutions in China and India.

Khanna's narrative strategy is seductively simple. Picking some aspect of economic life in each country, almost every chapter is built around a paired comparison. To make his points, he juxtaposes painstakingly collected stories of firms, personalities and projects from each country. We thus get fascinating accounts of how cities can be built virtually overnight in China, but Mumbai can neither transform the Machchi Village near Cuffe Parade, nor overhaul Dharavi, Asia's largest slum; how India's capital markets became world-class by the turn of the century, whereas the state's heavy hand in China kept its financial markets backward; how software boomed in India, but not in China; why China attracted more foreign direct investment than India; how China and India had dramatically different strategies towards their diasporas, with equally dramatic results as overseas Chinese simply poured money into China but NRI funds came slowly; how China's reforms started with the villages, whereas India has yet to transform its monstrously controlled agricultural *mandis*; how India's "soft power" in the form of Bollywood, intellectuals and gurus continues to grow, but China only specialises in "hard power". Khanna also has a riveting account of Sino-Indian competition in Myanmar narrated through the eyes of a third-generation Burmese-Indian, now teaching English at the Western Michigan University.

To be credible in the public sphere, this narrative method of paired comparisons could not have been executed without authorial intimacy with ground-level materials. Khanna achieves such intimacy not just by poring over volumes in the library, but by travelling all over China and India with



infinite curiosity and an open notebook. Buildings, firms, people, personalities, sights and smells are felicitously sketched all over the book, making it a pleasure to undertake the journey with him.

Khanna's conclusion is that instead of trying to view each other as adversaries, India and China, great powers in the making, need to open up to, and learn from, each other. The synergies are immense, but heavily underexploited. General Electric is among the few companies in the world to have reaped these synergies. Khanna finds China more ready to learn from India, especially from its software prowess, but India less willing to figure out how China achieved its great manufacturing feats. The number of China specialists in India—in academia, journalism, business and politics—is